last six years have been modest. Consumption has grown slightly, wages have increased a few percentage points in terms of national income, and there has been a small decline in the percentage of exports. These changes are hardly ambitious. The biggest problem for an economy structured around extremely high returns on foreign trade is that it cannot be turned towards domestic consumption without losing its competitive edge.

China has long begun to feel the consequences of its transition to capitalism. From 1978 to 1992, this path was limited by the preeminence of a model of commercial reforms which were subordinated to central planning. Under this scheme, rural communes were converted into agro-industrial units guided by the profit principle, but without yet opening to widespread privatisations. Managers appeared with the power to reorganise industrial plants, but they did not have the power to enforce mass layoffs or to sell enterprises. Meanwhile, tax-free zones were established along the coasts which were open to foreign investment and initiated exports; however, these activities did not strategically dominate the rest of the economy. In this period, industrialisation fed back into demand and increases in consumption preserved the previous distribution of national income. This model relied on an updated version of the New Economic Policy (NEP), introduced into the USSR to overcome stagnation (Li and Piovani 2011).

The turn to capitalism was consummated at the beginning of the 1990s, starting with privatisations carried out by the old directors of state enterprises with the intention of forging a capitalist class. The members of this group were transformed into the main investors in these new companies. Private accumulation was also accelerated through exploitation of the agricultural producers. China's entry into the WTO also reinforced the intertwining of the dominant elites with transnational corporations. The tripling of per capita income and the quadrupling of growth rates signified, from this point on, enormous levels of social inequality and the rollback of the revolution's popular gains.

The revolution's most important advances were disrupted. The doubling of life expectancy (from 32 to 65 years) and a massive increase in literacy (from 15% to 80–90% of the population) were replaced with an expansion in the inequality coefficient (from a Gini coefficient of 0.27 in 1984 to 0.47 in 2009). It became very difficult for working-class families to afford common health and education costs (Chun 2009). Capitalist imbalances began to emerge in an economy which saw its average growth reduced from 9–11% per year to 6–7% as a consequence of its aging industry and increasing costs. During the 2013–14 fiscal year, the level of economic activity would record its lowest expansion in the last decade. As happened previously in Japan and South Korea, China's model